CASCADIA ANALYTICS

INVESTMENT SCORECARD

AVGO

Broadcom Inc. (NASDAQ)

As-of: 23-Oct-2026 | Latest Filing: Q3 FY26 (10-Q) | Currency: USD

$345.00 [Mkt 29-Oct-26]

Market Cap: $1.69T [Mkt 29-Oct-26]

Attractiveness Score



Confidence: **High** (0 pillars excluded)

Pillar Breakdown

1. Operating Quality — 85

Dominant custom ASIC and AI networking franchise with VMware as a second cash engine. 75% gross margins, 54% operating margins, $30B+ annual FCF. Tempered by acquisition-driven leverage ($59.4B debt) and hyperscaler concentration.

2. Recent Trend — 88

Revenue accelerating violently: $16.0B to $29.6B quarterly in a year, AI revenue tripling (+221%), FCF +95%, GAAP net income +200%. Only blemish is gross margin down 210 bps on XPU mix.

3. Forward Growth — 85

Q4 guide implies 93% growth with AI at $21.7B (+236%). Management sees AI revenue doubling to ~$115B in FY27 and again to ~$230B in FY28, targeting $30+ EPS. Concentration in a few hyperscalers is the offset.

4. Valuation — 60

DCF base $548.74 sits ~59% above spot, so absolute upside is substantial on the model. Forward P/E of 17x and PEG of 0.34 are undemanding for this growth, and the stock is cheaper than custom-silicon peers.

5. Catalysts & Risk — 65

December Q4 print and Ironwood/TPU ramps are near-term positives. Risks: customer concentration, lower-margin XPU mix, China networking review, EU VMware scrutiny. Skew roughly balanced.

Investment Thesis

- **AI Silicon at Hyperscale:** Custom AI accelerators and networking to Google, Anthropic, and OpenAI. AI semiconductor revenue hit $16.7B (+221% YoY), 56% of total revenue [8-K earn].
- **Guidance Compounds the Story:** Q4 FY26 guide: $34.8B revenue (+93% YoY) with $21.7B AI (+236%). FY27 AI revenue guided to ~$115B, doubling again to ~$230B in FY28 [8-K guid].
- **Two Engines, One Cash Machine:** VMware infrastructure software grew 29% with 15% ARR growth, offsetting lower-margin XPU mix. Quarterly FCF of $13.7B (+95%) funds the AI buildout [8-K earn]. We have tightened the valuation discipline in this update. Per-share targets are now divided by the current diluted count of 4,887M shares; we no longer credit forecast buybacks in that division, because the cash that would fund them remains in the free cash flow being valued. Terminal-year capital spending is set equal to terminal-year depreciation and amortization, so the terminal value carries no net add-back. At a 16% cash tax rate, nearer guidance than the 12% in the model, the same scenarios value at $276.98, $524.22 and $827.93.

Key Operating Metrics

Metric	Latest	YoY Change	3Y Trend
Revenue (Q3 FY26)	$29.59B [8-K earn]	+86% YoY [8-K earn]	Up
AI Semiconductor Revenue	$16.7B [8-K earn]	+221% YoY [8-K earn]	Up
Infrastructure Software Revenue	$8.75B [8-K earn]	+29% YoY [8-K earn]	Up
Gross Margin	75% [8-K earn]	-210 bps seq [8-K earn]	Down
Free Cash Flow	$13.67B [8-K earn]	+95% YoY [8-K earn]	Up
Q4 FY26 Revenue Guide	$34.8B [8-K guid]	+93% YoY [8-K guid]	Up
FY2027 AI Revenue Outlook	~$115B [8-K guid]	~2x FY26 [8-K guid]	Up
Net Debt	$35.44B [10-Q Q3 FY26]	Debt $59,419M vs cash $23,975M [10-Q Q3 FY26]	Down

Historical Financial Trend

Metric	FY22	FY23	FY24	FY25	TTM
Revenue	$33.2B [10-K FY22]	$35.8B [10-K FY23]	$51.6B [10-K FY24]	$63.9B [10-K FY25]	$89.1B [Mkt 17-Oct-26]
Gross Margin	n/a [n/a]	n/a [n/a]	n/a [n/a]	n/a [n/a]	75.5% [Mkt 17-Oct-26]
Op Margin	n/a [n/a]	n/a [n/a]	n/a [n/a]	n/a [n/a]	54.3% [Mkt 17-Oct-26]

Valuation

Absolute (5/10)

P/E (fwd) 17.0x [Mkt 17-Oct-26]
DCF Base $548.74 [Mkt 17-Oct-26]
PEG 0.34 [Mkt 17-Oct-26]

DCF base sits ~59% above spot, so absolute upside is substantial on the model. Forward earnings multiple is undemanding for 90%+ revenue growth.

Versus Peers (6/8)

MRVL 31x fwd P/E [Peers 17-Oct-26]
ALAB 45x P/E [Peers 17-Oct-26]

AVGO trades cheaper than high-growth custom silicon peers on forward earnings.

Versus History (4/7)

EV/EBITDA (TTM) 30.7x [Mkt 17-Oct-26]
elevated vs history

Multiple stretched by the AI rerating; the growth trajectory must now carry it.

Catalyst Timeline

Dec 2026 [Cons]
Q4 FY26 Earnings (Positive): $34.8B revenue guide with ~$21.7B AI semiconductor revenue. The defining test of the FY27 $115B trajectory.

FY2027 [8-K guid]
Custom Silicon Ramps (Positive): Ironwood TPU v7 shipping to Google and Anthropic, TPU v8i in

Top Risk Factors (Item 1A)

1. Customer Concentration: A handful of hyperscalers (Google, Meta, OpenAI, Anthropic) drive AI revenue; loss of share or a design loss at any major customer would be material. [10-K FY25]

2. Margin Mix Shift: Custom AI accelerators carry expensive HBM and lower gross margins. As AI grows as a share of mix, gross margin fell 210 bps sequentially. [8-K earn]

production, OpenAI first-gen accelerator delivered.

2026-27 [Cons]
Regulatory Overhang (Two-Sided): Potential China review of networking gear and EU scrutiny of VMware licensing terms.

What Would Change Our Score

A Q4 FY26 beat above the $34.8B guide that keeps the $115B FY27 AI trajectory intact would lift Forward Growth and Trend. Conversely, a major customer share loss or a China/EU regulatory hit would cut growth and quality scores.

3. Regulatory Overhang: Potential China review of Broadcom networking gear and EU scrutiny of VMware licensing terms could disrupt two core franchises. [Cons]

Forward Growth Drivers

- Custom AI accelerator ramps at Google (Ironwood TPU v7/v8i), Anthropic, and OpenAI [8-K guid]
- AI networking fabric: Ethernet scale-out for hyperscale AI clusters [8-K guid]
- VMware Private AI Cloud plus 15% ARR growth; enterprise workload repatriation [8-K guid]

Missing / Modified Data Log

- Historical gross/operating margin splits not in local data; TTM margins from market data [Mkt 17-Oct-26].
- 5-year multiple history from market data, tagged [Mkt 17-Oct-26].

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